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**Merko Ehitus - Quarterly report**

2026 6 months and II quarter consolidated unaudited interim report

COMMENTARY FROM MANAGEMENT

Merko Ehitus generated revenue of EUR 93 million in the second quarter of 2026 and EUR 150 million in the first half of the year. Net profit amounted to EUR 8.5 million for the second quarter and EUR 12.8 million for the first six months of 2026. As of the end of the first half of the year, the company's secured order-book reached an all-time high of EUR 836 million.

According to the management of Merko Ehitus, there was an increase in activity in both the construction services and development segment in the second quarter. Several large-scale projects secured last year entered a more active construction phase, which was reflected in Merko's revenue figures. In addition, more than twice as many apartments were delivered to customers in the second quarter as in the first quarter of this year. The increase in construction input prices that anticipated in the first quarter has materialised, and there are currently no developments in the economy or global politics that would suggest any easing of price pressures. There were no unexpected changes in the construction and real estate markets during the second quarter, and all of Merko's home markets performed in line with expectations.

In early July, completed all preparatory stages required for the development of the Rüdinkai defence force campus project. The contract entered into full force, and construction activities have now commenced in full scale. The construction cost of the two phases exceeds 370 million euros in total, and the project's contribution to revenue will increase significantly in the coming quarters. In the second quarter, signed new construction contracts worth approximately 80 million euros, including the main building, an event center and infrastructure in Krulli quarter in Tallinn. As of the end of the first half of the year, the group's

companies secured order-book reached an all-time high of EUR 836 million.

Following a prolonged period of growth, activity in Vilnius's new apartment market has moderated somewhat, while the pace of signing new presale agreements has picked up in Riga. During the second quarter, group launched the construction of more than 160 apartments in Riga, including the Pētersala residential development, which incorporates architecturally significant heritage buildings, as well as the second phase of the Magnolijas development. The market for new residential developments in Tallinn is moving at a pace similar to last year. Across all Merko's home markets, customers remain highly price-sensitive, with the majority of transactions involving more affordable apartments.

During the first six months of the year, Merko delivered 120 apartments and five commercial units to buyers and launched the construction and sales of 204 apartments and four commercial units. As of the end of the first half of the year, Merko had a total of 1,253 apartments under construction and completed, of which approximately 40% are covered by presale agreements. In the second quarter of 2026, major development projects included Uus-Veerenni, Noblessner and Lahekalda in Tallinn, Ūielehe near Tallinn, and Erminurme and Leedri in Tartu; Lucavsala, Arena Garden Towers and Mežpilsēta in Riga; and Vilnelės Skverai and Šnipiškų Urban in Vilnius.

In Estonia, the group's larger construction projects in progress during the second quarter of 2026 included the City Plaza 2 and Viktor Masing office buildings, the Kullo Hobby Centre in Tallinn, the National Defence Building in Tartu, a hotel and event centre in Pärnu, the Rail Baltica Ülemiste passenger terminal, and the fourth stage of the Rail Baltica main line in Harju County, including the Tallinn–Pärnu section. In Lithuania, the major projects under construction were wind farm infrastructure facilities in the Pagėgiai and Telšiai districts and the Rūdninkai military campus. In Latvia, the group was engaged in the construction of military campuses, a student hotel in Riga, and wind farm infrastructure facilities in the Smiltene municipality.

OVERVIEW OF THE II QUARTER AND 6 MONTHS RESULTS

PROFITABILITY

2026 6 months' pre-tax profit was EUR 10.8 million and Q2 2026 was EUR 9.1 million (6M 2025: EUR 23.5 million and Q2 2025 was

EUR 11.9 million), which brought the pre-tax profit margin to 7.2% (6M 2025: 14.0%).

Net profit attributable to shareholders for 6 months 2026 was EUR 12.8 million (6M 2025: EUR 21.7 million) and for Q2 2026 net profit attributable to shareholders was EUR 8.5 million (Q2 2025: EUR 11.2 million). 6 months net profit margin was 8.6% (6M 2025: 12.9%).

REVENUE

Q2 2026 revenue was EUR 92.7 million (Q2 2025: EUR 82.6 million) and 6 months' revenue was EUR 149.9 million (6M 2025: EUR 167.9 million). 6 months' revenue decreased by 10.7% compared to same period last year. The share of revenue earned outside Estonia in 6 months 2026 was 41.2% (6M 2025: 43.8%).

SECURED ORDER BOOK

As of 30 June 2026, the group's secured order book was EUR 835.7 million (30 June 2025: EUR 443.8 million). In 6 months 2026, group companies signed contracts in the amount of EUR 486.4 million (6M 2025: EUR 223.1 million). In Q2 2026, new contracts were signed in the amount of EUR 79.6 million (Q2 2025: EUR 172.6 million).

REAL ESTATE DEVELOPMENT

In 6 months 2026, the group sold a total of 120 apartments; in 6 months 2025, the group sold 222 apartments. The group earned a revenue of EUR 27.6 million from sale of own developed apartments in 6 months 2026 and EUR 44.9 million in 6 months 2025. In Q2 of 2026 a total of 84 apartments were sold, compared to 101 apartments in Q2 2025, and earned a revenue of EUR 20.6 million from sale of own developed apartments (Q2 2025: EUR 20.2 million).

CASH POSITION

At the end of the reporting period, the group had EUR 39.6 million in cash and cash equivalents, and equity of EUR 251.1 million (57.4% of total assets). Comparable figures as of 30 June 2025 were EUR 25.9 million and EUR 242.3 million (60.1% of total assets), respectively. As of 30 June 2026, the group's net debt was EUR 29.6 million (30 June 2025: negative EUR 1.1 million).

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

unaudited

in thousand euros

	2026	2025	2026	2025	2025
	6 months	6 months	II quarter	II quarter	12 months
Revenue	149,893	167,882	92,670	82,646	310,941
Cost of goods sold	(132,508)	(138,811)	(80,761)	(68,488)	(255,081)
Gross profit	17,385	29,071	11,909	14,158	55,860
Marketing expenses	(2,724)	(2,701)	(1,395)	(1,426)	(5,823)
General and administrative expenses	(7,289)	(8,747)	(4,072)	(4,472)	(17,478)
Other operating income	1,244	1,083	736	522	2,285
Other operating expenses	(257)	(96)	(135)	(55)	(501)
Operating profit	8,359	18,610	7,043	8,727	34,343
Finance income/costs	2,428	4,901	2,045	3,184	10,425
incl. finance income/costs from joint ventures	2,451	4,844	2,133	3,343	10,381
interest expense	(359)	(395)	(186)	(185)	(836)
foreign exchange gain (loss)	176	(14)	(28)	(129)	(18)
other financial income (expenses)	160	466	126	155	898
Profit before tax	10,787	23,511	9,088	11,911	44,768
Corporate income tax expense	2,056	(1,835)	(588)	(695)	(4,850)
Net profit for financial year	12,843	21,676	8,500	11,216	39,918
Other comprehensive income, which can subsequently be classified in the income statement					
Currency translation differences of foreign entities	(143)	7	22	66	20
Comprehensive income for the period	12,700	21,683	8,522	11,282	39,938
Earnings per share for profit attributable to equity holders of the parent (basic and diluted, in EUR)	0.73	1.22	0.48	0.63	2.26

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
unaudited

in thousand euros

	30.06.2026	30.06.2025	31.12.2025
ASSETS			
Current assets			
Cash and cash equivalents	39,593	25,862	41,424
Short-term deposits	6,000	23,000	18,000
Trade and other receivables	59,491	75,989	43,658
Prepaid corporate income tax	486	934	1,347
Inventories	245,853	196,552	219,812
	351,423	322,337	324,241
Non-current assets			
Investments in joint ventures	29,408	26,415	31,957
Other shares and securities	80	80	80
Other long-term loans and receivables	20,109	18,645	20,658
Deferred income tax assets	3,221	4,789	2,874
Investment property	11,174	12,475	12,395
Property, plant and equipment	21,770	18,171	22,117
Intangible assets	669	593	714
	86,431	81,168	90,795
TOTAL ASSETS	437,854	403,505	415,036
LIABILITIES			
Current liabilities			
Borrowings	7,830	9,712	3,079
Payables and prepayments	95,921	112,484	95,920
Income tax liability	111	112	510
Deferred income from government grant	5	-	2
Short-term provisions	11,494	9,165	10,426
	115,361	131,473	109,937
Non-current liabilities			
Long-term borrowings	61,339	15,018	30,012
Deferred income tax liability	3,923	6,623	7,448
Other long-term payables	6,090	8,080	7,073
	71,352	29,721	44,533
TOTAL LIABILITIES	186,713	161,194	154,470

EQUITY

Share capital	7,929	7,929	7,929
Statutory reserve capital	793	793	793
Currency translation differences	(164)	(34)	(21)
Retained earnings	242,583	233,623	251,865
TOTAL EQUITY	251,141	242,311	260,566
 TOTAL LIABILITIES AND EQUITY	 437,854	 403,505	 415,036

Interim report is attached to the announcement and is also published on NASDAQ Tallinn and Merko's web page (group.merko.ee).

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AS Merko Ehitus (group.merko.ee) group companies construct buildings and infrastructure and develop real estate. We create a better living environment and build the future. We operate in Estonia, Latvia and Lithuania. As at the end of 2025, the group employed 613 people, and the group's revenue for 2025 was EUR 311 million.

Attachments:

[Merko_Ehitus_2026_6M_interim_report.pdf](#)

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